

Note: Here Nifty Midcap 150 is taken as market as it comes under midcap index as neither its too stable nor too volatile for analysis.

➤ **Indices Analysis**

❖ **Findings**

- Average monthly Nifty Midcap 150 returns are : 1.28%
- Least average monthly returns are observed in : Nifty Realty
- High Average monthly returns are observed in : Nifty Auto
- Best performing sectors on specific years:
 - 2009 – Nifty Metal
 - 2020 – Nifty Pharma
- Longest streak for market being **Dovish** is from Feb 2011 to Mar 2012 .
During the sectors that outperformed were:
 - Realty
 - Metal
 - Bank
- Biggest market drawdown was observed b/n Jan 2007 and Mar 2009 where
 - Peak date: 7 Jan 2008
 - Trough date 9 March 2009
- It took market 1901 days to recover from trough
- Sectors that recovered fastest during this 2008 crash were:
 - FMCG: 140 days
 - Auto : 141 days
 - IT: 168 days
 - Pharma: 200 days
- Worst performing sectors during 2008 crash were:
 - Metal: 4445 days
 - Realty: Not recovered even as Jul 2026 from its peak in 2008
- On an average there exists in market(Nifty Midcap 150)
 - 874.5 days of bull run
 - 409 days of bear run

- Below are the fractions on which market operates:

- ~68% bull regime

- ~32% bear regime

❖ **Insights**

- Market gives most of the time better returns than specific index.
- FMCG, Auto, IT & Pharma are quite resilient.
- Capex driven sectors like Realty, Metal, Banking and Financial Services are mostly exposed to the market shocks.
- There can be times where sectors can reach an all time high which can never be recovered later on like in the case of **Nifty Realty**.
- Bull regime dominates market.

❖ **Recommendations**

- IF we are not sure then it's advisable to invest in market index
- As bull market dominates the market if we stay longer in the market then we can get more returns than safe investments like FDs.

➤ **Interest Rates Analysis**

❖ **Insights**

- Below is the count of split in rate changes:
 - Hikes : ~23%
 - Cuts: ~21%
 - Same: ~56%
- Longest streak length of each rate change move:
 - Hike : Feb 2011 to Dec 2011
 - Cuts: Nov 2008 to Jun 2009
 - Same: Aug 2020: Apr: 2022
- Sectors Performing best during hikes:
 - FMCG
 - Pharma
 - Realty

- Metal
- Sectors Performing best during cuts:
 - Realty
 - IT
 - Auto
 - Metal
- Cuts are more impactful for market returns than hikes
- Below are the sectors and market which are least sensitive to shocks:
 - Market
 - FMCG
 - Energy
 - Pharma

❖ Insights

- Central bank tries to avoid the rate changes to make market more predictable.
- Consumer utilities perform better during hikes
- Capex driven sectors perform better in lower rates.

❖ Recommendations

- If the rates are higher its better to invest in consumer utilities.
- If rates are lower its better to invest in capex driven businesses

➤ Inflation Analysis

❖ Findings

- Correlation between interest rates & WPI increases as more lag exists as they reflect the response of interest rate changes.
- There is degradation in correlation between WPI(Wholesale Price Index) and CPI(Consumer Price Index) and the direct release date of CPI after WPI has strongest correlation between them.
- **Nifty Pharma** is least volatile sector in terms of inflation index change.
- **Nifty Realty** is the most volatile sector in terms of inflation index change.

❖ **Insights**

- It takes time to reflect interest rate impact over inflation index which can span over months
- It reflects impact of WPI on CPI immediately quickly.
- Consumer durables perform better during high inflation.
- Capex driven sectors are highly volatile during inflation changes.

❖ **Recommendations**

- If the inflation is higher its better to invest in consumer utilities.
- If inflation is lower its better to invest in capex driven businesses.

➤ **News and Events Analysis**

❖ **Findings**

- Market reacts more to negative news than positive news.
- There is 1.2 to 1.65% volatility in markets based on news and events.
- Most stable sector is **Nifty Pharma**
- Most volatile sectors are:
 - Auto
 - Bank
 - IT
 - Metal
- Sentiment drives return.
- On an average the impact of negative events >3months.
- It takes on an average 6 months for recovery.
- Fastest Recovering Sectors: Nifty Energy, Nifty FMCG, Nifty Pharma.
- Slowest Recovering sectors: Nifty Realty, Bank, Nifty Financial Services, Nifty IT(as of AI boom).

❖ **Insights**

- Loss aversion is observed in markets.
- Consumer durables are more resilient from market sentiments.
- Capex driven sectors lag the recovery from market shocks.

❖ **Recommendations**

- Consumer durables are more resilient due to which their recovery is quite faster and suitable for uncertain market conditions.
- Capex driven sectors are more suitable when markets are in booming phase.